



THE LIMITED EDITION AUDI A6 2.7 TDI (LEFT) WHICH WILL BE AVAILABLE FOR Rs 37 LAKH; THE MERCEDES GL 350 CDI (RIGHT) COSTING Rs 65 LAKH; THE BMW X6 M, AVAILABLE FOR Rs 1.3 CRORE



Hot WHEELS

India is a hot battleground for luxury cars as BMW displaces Merc from the top slot. With new launches and easy financing schemes, 2010 will have more speed thrills.

By Malini Bhupta

When top bosses of most automobile companies were busy chalking out survival strategies last year, the CEO of Rolls-Royce, Tom Purves, was addressing a network of Indian CEOs and executives at a luxury resort in Geneva. The event explored how luxury brands like Rolls-Royce could target markets like India for future growth. For a country that accounts for merely 18 cars out of 1,212 units sold worldwide, the attempt may seem like a wild goose chase, but this iconic carmaker believes that the 21st century *maharajahs* of India will drive future sales.

India continues to be the jewel in

the crown of Rolls-Royce, as it hopes to double its India sales to 40 units this year with the launch of the Baby Rolls, priced at Rs 2.5 crore. The booming sales of luxury cars in a year of recession has taken the world's luxury auto market by storm. In 2009, over 9,000 Indians have driven home in spanking new Rolls, BMWs, Audis or Mercedes, compared to 7,500 in 2008. This may seem like a small speck in India's 1.8 million automobile market; luxury cars by definition attract eyeballs because of their hefty prices, which start at Rs 27 lakh and go up to Rs 4 crore. At Rs 700 crore and growing, the luxury car market isn't small.

Global automakers are rubbing their hands in glee as this segment is slated to double by 2015, even as sales

stagnate in developed markets. With a sharp increase in the affluence of Indians, customers are demanding cutting-edge technology and style. Says Benoit Tiers, managing director, Audi India: "Our estimation says India will be the fifth-largest automobile market in the world by 2015. We sold 1,20,000 cars in China in 2008 and India will soon go that way. By 2025, we expect to sell as many cars in India as in Japan, about 20,000 cars."

Last year has been a watershed year for the luxury car market in India, as demand has far outstripped supply. Despite slower growth, the top 1 per cent of India's population is spending like never before. Business tycoons and millionaires from small towns are marking their arrival on the